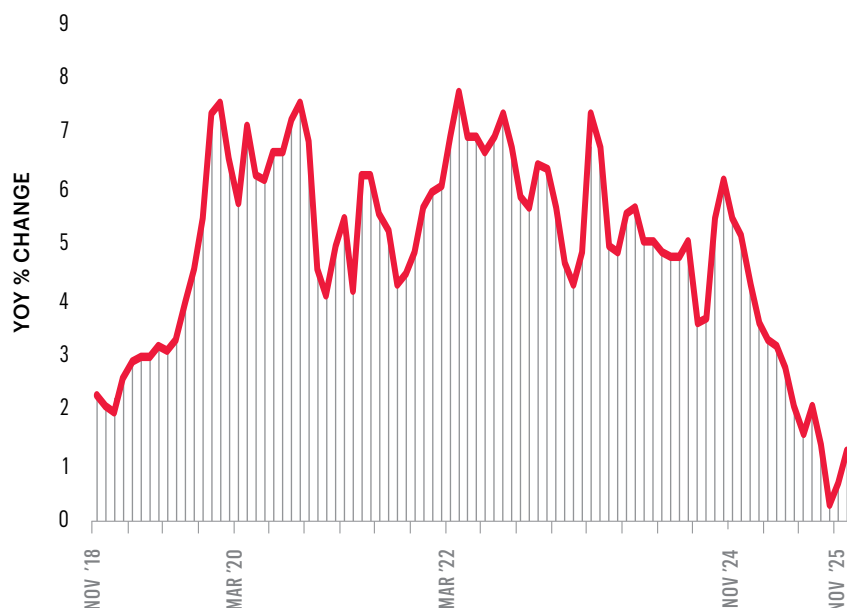


- He was forced to cut rates steeply at the outbreak of Covid, and raise rates massively after the Russian invasion of Ukraine

CPI INFLATION



SOURCE MOSPI

that followed. In 2020, the RBI imposed a moratorium and forced the reconstruction of YES Bank. It also placed a moratorium on Lakshmi Vilas Bank in 2020. The RBI stepped in again, superseding the boards of SREI Infrastructure Finance and Reliance Capital, and appointing an additional director at RBL Bank as part of a supervisory intervention.

Das built a knack for unconventional resolutions. Unlike past practice of a stronger bank acquiring a bank in crisis, the YES Bank resolution was unique in that it was reconstructed using private capital, led by State Bank of India and a consortium of private banks and financial institutions. “We did not

want to burden a single PSB, so the resolution had to be led by multiple banks,” underlines Das.

The Lakshmi Vilas Bank–DBS merger, in 2020, was also a path-breaking shift in RBI’s resolution playbook—a foreign bank was allowed to acquire a private bank. “We reached out to all Indian private sector banks, including DBS Bank, which had set up an Indian subsidiary. They showed strong interest, and we were confident about DBS’s strong parentage and deep pockets,” recounts Das.

There were other measures too, like introducing funding access for NBFCs and liquidity risk management frameworks. The RBI divided NBFCs into four groups based on

size from a base layer to systemically important ones. It was a structural shift, with large NBFCs regulated almost like banks.

THE COVID CRISIS

Just as the RBI was getting on top of the NBFC crisis, the pandemic struck in March 2020. “That was the beginning of another period of crisis of a completely different nature,” recalls Das. There was a serious risk of getting engulfed in a systemic crisis. Das had to ensure that banking, payments, money markets and credit flows continued even as the economy came to a standstill.

There were few historical parallels and no playbook to rely on. The RBI had to prioritise financial stability, liquidity, and boosting confidence—often ahead of short-term growth considerations.

“Das’s monetary policy actions, including interest rate cuts and targeted liquidity injections, not only ensured credit flow to key sectors like real estate but also helped stabilise inflationary pressures amidst global uncertainties and geopolitical tensions,” says Niranjan Hiranandani, Chairman of the real estate major Hiranandani Group.

When asked about those unconventional measures, Das jokes, “Leave something for my book.”

INFLATION VS GROWTH

As the Covid waves seemed to be ebbing and domestic growth was rebounding, a series of global shocks triggered by the war in Ukraine threatened to upend the system once again. The US Federal Reserve tightened monetary policy aggressively in response to the inflationary spike after the